

HOUSE BILL 1631

By Lamberth

AN ACT to amend Tennessee Code Annotated, Title 4,
Chapter 57; Title 43, Chapter 21 and Section 48-
101-502, relative to exhibitions.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 57, is amended by deleting the chapter.

SECTION 2. Tennessee Code Annotated, Title 43, Chapter 21, Part 1, is amended by deleting the part and substituting instead:

43-21-101. Short title.

This part is known and may be cited as the "Tennessee Agricultural Fair and Livestock Show Act."

43-21-102. Findings.

The general assembly declares that agricultural fairs and livestock shows are a part of this state's rich agricultural heritage. They enrich communities by showcasing agricultural achievements and careers, offering recreational and youth development opportunities, and promoting tourism. Consequently, it is the policy of this state to support these agricultural fairs, livestock shows, and their contributions to agriculture. The purpose of this part is to make funds available to support the development, improvement, and promotion of agricultural fairs and livestock shows in this state.

43-21-103. Part definitions.

As used in this part, unless the context otherwise requires:

(1) "Agricultural fair" means a not-for-profit agricultural exhibition, conducted at least annually, that contributes to agricultural development through educational programs, activities, demonstrations, contests, or exhibits;

(2) "Commissioner" means the commissioner of agriculture;

(3) "Department" means the department of agriculture;

(4) "Livestock show" means a not-for-profit exhibition, conducted at least annually and independently of an agricultural fair, where livestock are exhibited and judged on specific phenotypical breed traits for their respective breed standard;

(5) "Premium" means a cash award presented at an agricultural fair or livestock show to the winner of a competition or exhibit within an approved class set forth in § 43-21-106(2); and

(6) "State aid" means funds appropriated by the general assembly for administration and implementation of this part.

43-21-104. Commissioner authority.

The commissioner is authorized to:

(1) Receive and disburse state aid in accordance with this part;

(2) Enter into agreements with third parties for the provision of goods and services necessary to effectuate this part;

(3) Expend a portion of state aid for administration of this part. Costs for administration of this part may include, but are not limited to, education of persons conducting agricultural fairs or livestock shows in the state and employment and direction of full-time department employees, as necessary to promote and improve the operation of agricultural fairs and livestock shows in this state;

(4) Grant a portion of state aid to entities that, in the discretion of the commissioner, advance agricultural interests in this state but that do not otherwise meet the definition criteria of agricultural fairs and livestock shows under this part; and

(5) Delegate authority under this section to department personnel as necessary for efficient administration of this part.

43-21-105. Appropriations and disbursement.

All funds appropriated by the general assembly for the administration and implementation of this part must be disbursed by the department annually in accordance with this part.

43-21-106. Premiums.

The department shall administer a program to disburse state aid to finance premiums paid by agricultural fairs and livestock shows. The program must, at a minimum:

(1) Annually disburse state aid based on premiums paid by agricultural fairs and livestock shows; and

(2) Authorize the disbursement of state aid for premiums only for exhibition of the following livestock, products, commodities, projects, or displays:

(A) Cattle, swine, sheep, goats, mules shown to halter or farm vehicles, jack stock, and light horses to halter;

(B) Poultry, meat, eggs, and dairy products;

(C) Honey;

(D) Field, garden, and horticultural products;

(E) Family and consumer science displays;

(F) Junior agriculture and forestry projects, including, but not limited to, Future Farmers of America and 4-H club competitions, displays, demonstrations, and exhibits;

(G) Agriculture and forestry educational exhibits; and

(H) Other classes established by the commissioner through rule promulgated in accordance with this part.

43-21-107. Awards of merit.

(a) The department shall administer a program to disburse state aid as an award of merit to agricultural fairs that attain excellence in fair operations. The program must, at a minimum:

(1) Include classifications of agricultural fairs based on area and population served;

(2) Annually designate a champion, first runner-up, and second runner-up within each classification, if the number of agricultural fairs in the classification allows;

(3) Award the champion within each classification an amount equal to one hundred percent (100%) of the state aid paid to that agricultural fair under § 43-21-106 for the same year in which the award is made;

(4) Award the first runner-up, second runner-up, and other agricultural fairs participating in the program an amount less than one hundred percent (100%) of state aid received under § 43-21-106 for the same year in which the award is made;

(5) Establish criteria for determining those agricultural fairs that are worthy of designation as a champion, first runner-up, or second runner-up. In establishing such criteria, the department shall consider:

(A) Prominence, visibility, quality, and diversity of agriculture exhibits;

(B) General cleanliness and appearance of grounds, buildings, and operations;

(C) Community participation; and

(D) Quality and quantity of programs and entertainment;

(6) Limit participation in the program to agricultural fairs that paid at least one thousand dollars (\$1,000) in premiums during the program cycle; and

(7) Issue awards of merit exclusively to agricultural fairs and not to livestock shows or other exhibitions or entities.

(b) For the purpose of disbursing state aid in accordance with this section, the commissioner is authorized to receive recommendations from officers and directors of any state association of fairs to determine which agricultural fairs receive awards of merit.

43-21-108. Limitations on state aid.

Notwithstanding this part to the contrary, an agricultural fair or livestock show must not receive state aid for more than fifty percent (50%) of premiums paid in any one (1) year unless an agricultural fair is granted an award of merit under this part.

43-21-109. Rulemaking.

(a) The commissioner shall promulgate rules that establish:

(1) Eligibility criteria of agricultural fairs and livestock shows to receive state aid;

(2) Application processes for agricultural fairs and livestock shows to request state aid;

(3) Reporting requirements for agricultural fairs and livestock shows to demonstrate premiums paid;

(4) Record requirements for payment of premiums by agricultural fairs and livestock shows seeking state aid, including, but not limited to, the name of each premium winner, the amount paid to each winner, and instruments used to pay premiums;

(5) Classifications of agricultural fairs based on area and population served; and

(6) Calculation and implementation of maximum disbursement calculations applicable for payment of premiums and awards of merit.

(b) The commissioner is authorized to promulgate additional rules necessary to effectuate this part.

(c) The rules promulgated pursuant to this part must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

(d) All rules promulgated by the commissioner prior to July 1, 2026, for the administration of state aid to agricultural fairs or livestock shows remain in effect until amended or repealed by the commissioner.

43-21-110. Enforcement.

(a) Upon request of the department, an agricultural fair or livestock show that is not in compliance with this part or the rules promulgated by the department under this part, or that is otherwise ineligible to receive state aid from the department at the time it was granted state aid, must return to the department the full amount of state aid received.

(b) The commissioner is authorized to institute judicial proceedings for collection of state aid under subsection (a) in a court of competent jurisdiction.

SECTION 3. Tennessee Code Annotated, Title 43, Chapter 21, is amended by adding the following as a new part:

43-21-301. Short title.

This part is known and may be cited as the "Tennessee State Fair Act."

43-21-302. Administration of fair and exposition.

It is the intent of the general assembly that a state fair be held annually for the promotion of agriculture and forestry. The state fair's purpose is to provide for the education and amusement of fair attendees by displaying the tools, equipment, commodities, and products integral to agriculture and forestry and sharing the contributions of agriculture and forestry to the state economy, the livelihoods of the state workforce, and the care and comfort of its citizenry.

43-21-303. Part definitions.

As used in this part, unless the context otherwise requires:

- (1) "Commissioner" means the commissioner of agriculture;
- (2) "Department" means the department of agriculture;
- (3) "Fair" means an exhibition of agriculture, forestry, business, manufacturing, or other industries in a manner that is educational or entertainment value for attendees, and is inclusive of ancillary services necessary for the care, comfort, or amusement of the public, including rest areas, sanitation facilities, and concessions for the sale of food, drink, amusements, and trinkets; and
- (4) "Operator" means an individual, corporation, or other formalized entity selected for the planning, maintenance, operation, and oversight of a state fair.

43-21-304. Authority and powers of the commissioner.

(a) The department of agriculture is charged with administration of a state fair.

(b) The commissioner is authorized to:

(1) Select an operator for the purpose of managing and conducting at least one (1) fair serving the state annually;

(2) Enter into any contracts and agreements necessary to effectuate this part;

(3) Accept and administer gifts, contributions, and bequests of unrestricted funds or property from individuals, foundations, corporations, and other organizations or institutions for the purpose of promoting and advancing a state fair;

(4) Grant leases on all or any part of the property, land, or buildings under jurisdiction of the department for advancement of a state fair;

(5) Require, as frequently as the commissioner deems necessary, submission of operations reports, financial documents, and audit findings of the operator, as they relate to administration of the state fair;

(6) Promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, as necessary to effectuate this part; and

(7) Form advisory panels from qualified persons within the state to obtain advice and counsel on matters pertaining to the state fair.

43-21-305. Use of the name denoting state fair or exposition.

Use of the name "Tennessee State Fair" or any other title connoting a state fair of this state must not be used without permission from the department, which the department may grant in its sole discretion.

SECTION 4. Tennessee Code Annotated, Section 48-101-502(a)(4), is amended by deleting the subdivision and substituting:

(4) Agricultural fairs, as defined in § 43-21-103, that have been qualified by the commissioner of agriculture to receive state aid, pursuant to the Tennessee Agricultural Fair and Livestock Show Act, compiled in title 43, chapter 21, part 1;

SECTION 5. The headings in this act are for reference purposes only and do not constitute a part of the law enacted. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 6. This act takes effect upon becoming a law, the public welfare requiring it.